

INDIAN ECONOMY

**LEVEL
II**



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MODULE - 6**61****UNICORN COMPANY****62****BEHAVIOURAL ECONOMICS****63****REAL INTEREST RATE****64****GIG ECONOMY****65****LEGAL TENDER****66****FIAT CURRENCY****67****DEMOGRAPHIC DIVIDEND****68****INDUSTRY 4.0****69****EASY MONEY POLICIES****70****CREATIVE DESTRUCTION****71****SECURING THE UNSECURED****72****LOW EQUILIBRIUM TRAP**

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UNICORN COMPANY

A unicorn is a start-up company, which has a current valuation of more than \$1 billion.

The logo for Paytm, featuring the word "paytm" in a bold, sans-serif font. "pay" is in dark blue and "tm" is in light blue.

62

BEHAVIOURAL ECONOMICS

- It is the study of psychology as it relates to the economic decision-making processes of individuals and institutions.
- It draws on psychology and economics to explore why people sometimes make irrational decisions.





NATIONAL HEALTH MISSION
राष्ट्रीय स्वास्थ्य मिशन

Kilkari
Delivers free weekly mobile voice messages to pregnant woman about pregnancy and child care

A NEW MILESTONE ACHIEVED

4.82 crore
SUCCESSFUL CALLS WERE MADE UNDER KILKARI SCHEME



मोबाइल में किलकारी माँ बनने की पूरी तैयारी

किलकारी
हर माँ की ज़रूरी स्वास्थ्य सेवा



63

REAL INTEREST RATE

- A real interest rate is an interest rate that has been adjusted to remove the effects of inflation.
- It is nominal interest rate – inflation.
- It can be interpreted in many ways.

REAL INTEREST RATE FOR THE DEPOSITORS



- Interest on FDs 7.00%
- CPI Inflation 5.00%
- Real Interest Rate 2.00%

REAL INTEREST RATE FOR THE LENDERS



- Interest rate on home loan by SBI 8.00%
- CPI Inflation 5.00%
- Real Interest Rate 3.00%

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GIG ECONOMY

- It is the economy, where temporary-flexible jobs are the common place.
- Companies tend to hire part-time workers i.e., freelancers, instead of full-time employees.
- Due to the large number of people willing to work part-time, GIG Economy becomes cheaper.
- It proliferated because of internet-based technologies.



65

LEGAL TENDER

- Medium of payment recognized by law.
- In every country, the national currency is the legal tender.
- A creditor is obligated to accept legal tender towards repayment of a debt.



It is not a legal tender!



66

FIAT CURRENCY

- It is the Government-issued currency that is not backed by a physical commodity, such as gold or silver.
- The value of fiat currency is derived from the relationship between supply and demand and the stability of the Issuing Government.



Venezuela lost the value of currency in recent times!



CASE : 1

If each kg of rice costs Rs. 100, we will get 1 kg

CASE : 2

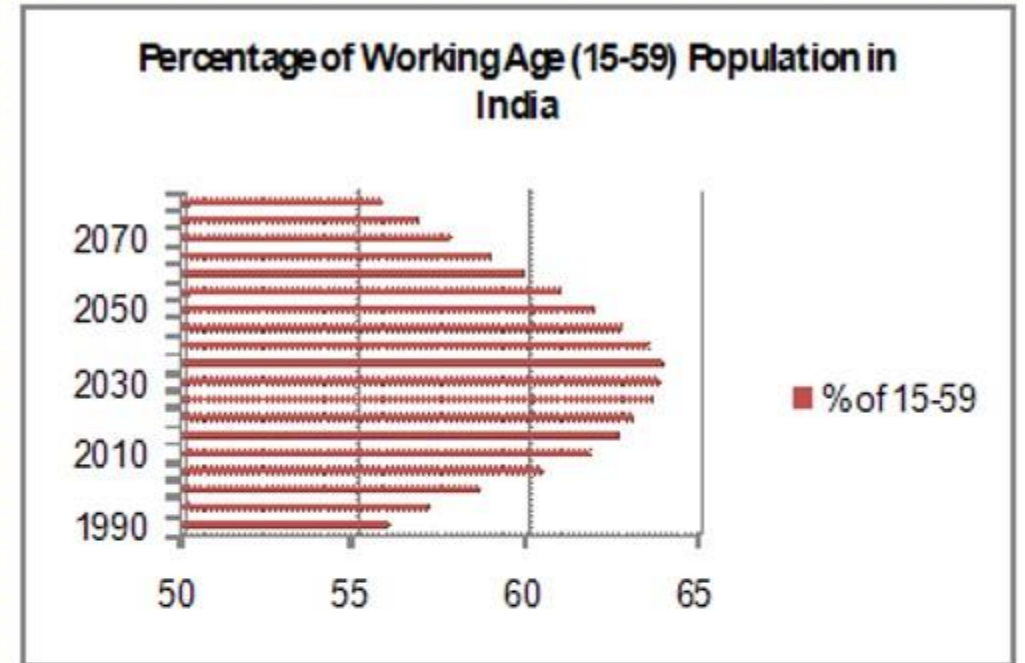
If each kg of rice costs Rs. 50, we will get 2 kgs



67

DEMOGRAPHIC DIVIDEND

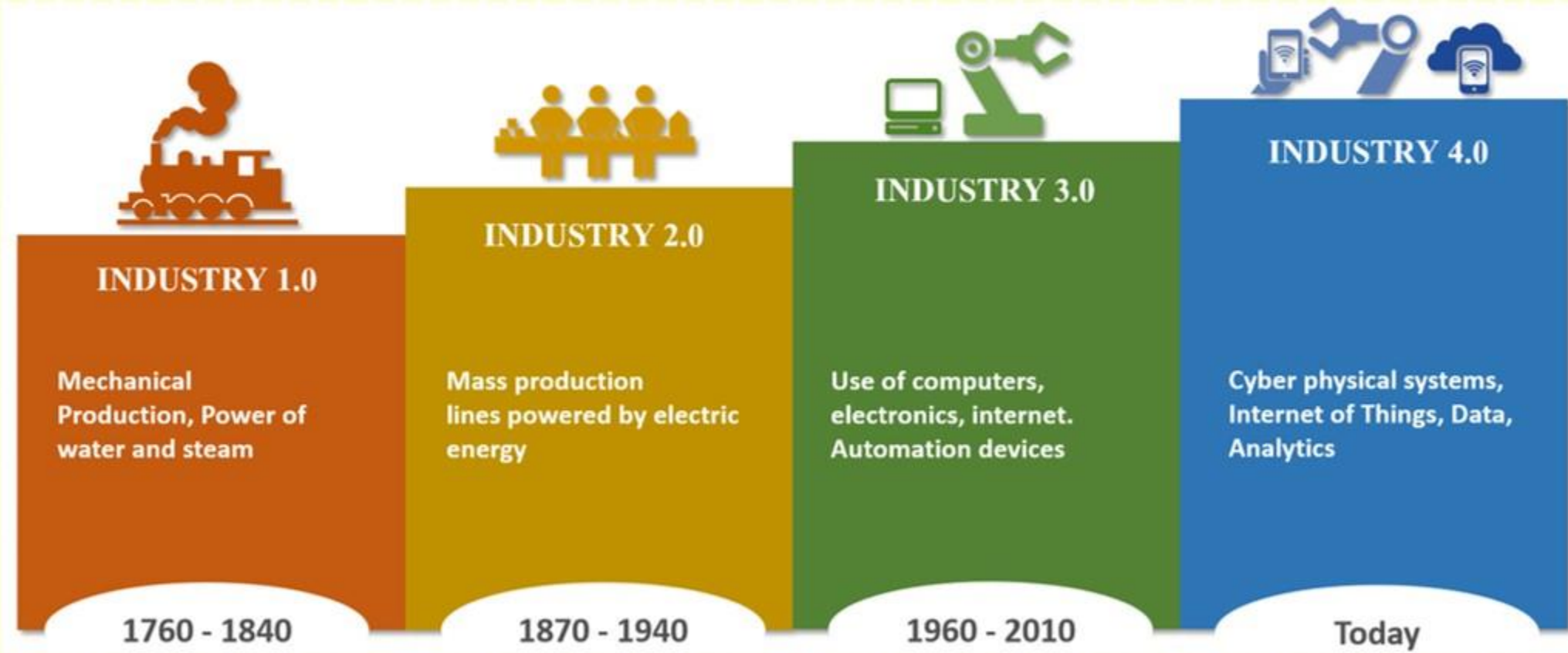
- Demographic dividend refers to the growth in an economy, as a result of a change in the age structure of a country's population.
- It is the human potential a State can harness with rising working age (15-59 years) population and falling dependency ratio.
- The "demographic dividend" will end as its working-age population starts falling.



Source: United Nations World Population Prospects – The 2010 Revision

68**INDUSTRY 4.0**

The technologies like Robotics, Artificial Intelligence, 3D Printing, Internet of Things, which may have the potential to disrupt the traditional sectors.



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EASY MONEY POLICIES

- These are the policies adopted by the Central Banks to lower the interest rates.
- It is to keep more money in circulation.
- The expectation is that the lower borrowing costs can stimulate consumer borrowing, which in turn can increase demand for goods.



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CREATIVE DESTRUCTION

- Creative destruction can be described as the dismantling of long-standing practices in order to make way for innovation.
- It treats economics as an organic and dynamic process.
- Economic development is the natural result of forces created by the opportunity to seek profit.



With assembly line production in 20th Century, several jobs were lost.



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SECURING THE UNSECURED

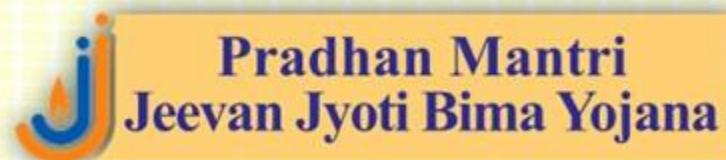
1

MAKING CREDIT
AVAILABLE



2

ACCESS TO INSURANCE
PRODUCTS



3

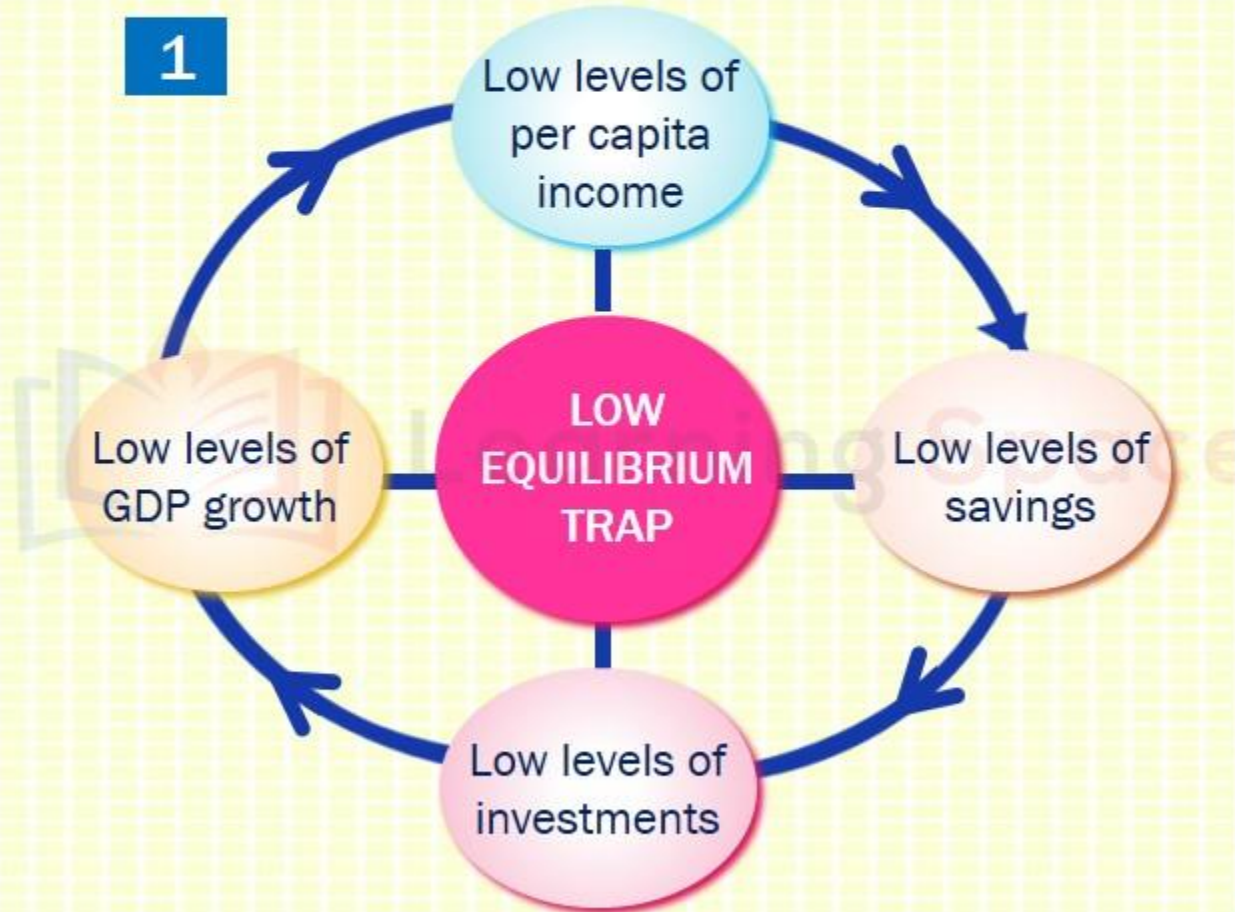
ACCESS TO PENSION
PRODUCTS



प्रधानमंत्री श्रम योगी मानधन
(PM-SYM)

72

LOW EQUILIBRIUM TRAP



2



Low municipal taxes paid by the residents

Poor quality of services by the municipality



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SINCERE THANKS
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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

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0866 244 44 72

98499 42299

94415 27588